4. Analyse Historical Trends and Repayment Capacity (Prompt Engineering)

Example Prompt Template (Steps 1 - 3)

You are a credit analyst AI. You will receive:

- (1) a short business overview, and
  (2) a time-series of key financial metrics and ratios (at least 3 periods).

Your task:

- First, describe the business model and how it generates cash.
- Second, analyse profitability, leverage, liquidity, cash flow and debt-servicing capacity, focusing on **trends and relationships** between metrics (e.g., revenue vs EBITDA, debt vs DSCR). Highlight any divergences and what they imply for repayment capacity.
- Third, identify the main financial, business and external risks that could impair repayment. Rank the top 2–3 risks and justify your ranking.

Keep your output structured under three headings:

1. Business Overview – "Who are they?"
2. Financial Analysis – "Can they repay?"
3. Credit Risk – "What could stop them from repaying?"

Use clear, concise, presentation-ready language suitable for an investment or credit committee.

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5. Identify Key Risks + Suggest Mitigants (Prompt Engineering)

Example Prompt

You are a credit analyst AI. You will receive:

- (1) a short business overview, and
  (2) a time-series of key financial metrics and ratios.

  Your task:

  - Identify up to **five material credit risks** that could impair the borrower's ability to repay. Prioritise risks with clear quantitative evidence (ratio trends, concentration, maturity profile).
  - For each risk, provide:
    1. **Identified Risk** – a concise label.

2. **Evidence** – specific metrics/trends and time period that support the risk.
3. **Possible Mitigant** – practical actions that could reduce the probability or impact of this risk.
4. **Proposed Term / Condition** – how the mitigant could be reflected in loan structure, covenants, reporting, or monitoring.

Keep your output structured as a compact table or clearly labelled bullets under each risk. These are **suggestions for the analyst**, not automatic lending decisions. Focus on clarity, relevance, and credit impact.